

Business Performance Insights

12-Month Period: July 2024 to June 2025

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All monetary figures in EUR. Take Rate = revenue / transacted value. ROI = revenue / spend. Margin = profit / revenue. Cost Ratio = spend / revenue.

Aim

This analysis evaluates 12-month business performance (July 2024 to June 2025) across channel, product, and geography dimensions, providing data-driven insight into portfolio performance and highlighting strategic opportunities for optimisation.

Tools Used

- **Python (pandas):** Data loading, aggregation, and metric calculations (ROI, margin %, RPB, take rate).
- **Excel (pivot tables and grouping):** Channel, category, and geography combination analysis.

Methodology

- Data was aggregated by channel, product category, and geography across the 12-month window.
- Profitability metrics (ROI, margin %, RPB, take rate %, cost ratio) were calculated for each combination.
- Monthly trends were analysed to identify performance patterns and seasonality.
- Top and bottom performers were ranked by absolute profit contribution and by efficiency ratios.
- June was isolated for root-cause analysis due to significant margin compression.
- Recommendations were intentionally withheld, since strategic priorities (profit vs. growth), market-level objectives, and geographic expansion goals were not available as context.
- Detailed tables and granular combo-level breakdowns were excluded for readability, with full data available in the supporting Excel evidence sheets.

Section 1: Channel Insights

Bottom line: Clear seasonality: strong July spikes, a Sept to Dec trough, and a January recovery spike. For SEM, June profit turned negative (–€35K) despite +31% revenue growth, driven by a 74% spend increase; this is examined in the June 2025 Analysis below. Organic channels (DIRECT, SEO) are the foundation, delivering 63.8% of profit on under €1K of spend, a near-zero cost of customer acquisition.

Detailed figures

DIRECT: Organic traffic, zero spend, 100% margin. 44.4% of profit on only 14.2% of bookings. Represents brand loyalty and returning customers; stable month-to-month.

SEO: Organic search, zero spend, 100% margin. Just 9.5% of revenue but €13.6M profit. Second-highest RPB (€104.21).

META: 57.4% of all bookings but the lowest RPB (€22.20) and lowest take rate (3.66%). 1.52x ROI on a thin 34% profit margin: a high-volume, low-value channel.

SEM: 47.7% of revenue but only 21.7% of profit. €52.8M spend (73% of budget) at a 22.4% margin is hard to sustain at this efficiency.

Section 2: Category Insights

Bottom line: FLIGHT + HOTEL is the winning product mix and the major profit driver (€49.4M profit, 70.5% of the total). Although FLIGHT has the least attractive metrics of the mix, it could be used as a funnel to attract customers given the low investment required (RPB €24.32). Revenue decreases from July (€15.4M) to December (€8.3M, -45.9%) before recovering to June (€15.2M), confirming seasonality. June profit (€5.6M, 37.1% margin) is 30% below July (€8.1M, 52.4% margin) despite 18% more bookings, driven by lower revenue per booking (€60 vs €72) and higher spend (€9.6M vs €7.3M); the spend increase is dissected in the June 2025 Analysis below.

Detailed figures

FLIGHT + HOTEL: 70.5% of profit from 20.6% of bookings. RPB €190.39 (8x higher than FLIGHT), 2.17x ROI, 53.9% margin, 10.52% take rate (best of the three).

FLIGHT: 70% of bookings but only 20.3% of profit. Lowest take rate (4.23%): a volume play with low value.

HOTEL: Best ROI (2.44x) and best margin (59.1%), highest take rate (10.66%), yet only 9.3% of profit. Severely underutilised; a high-confidence growth opportunity if scaled.

Section 3: Geography Insights

Bottom line: France and Italy are the profit drivers (51.4% of total profit combined) with strong margins (50 to 52%) and healthy RPB (€68 to €115). Germany is the most efficient market (58.6% margin, 2.41x ROI) despite smaller volume. OTHER is the clear problem: 32.9% of all bookings but the worst margin (31.6%) and the worst cost efficiency, with 68.4% of its revenue consumed by spend, pointing to weak unit economics. Core markets (FR, IT, DE, ES) should be the priority; OTHER needs investigation or budget reallocation.

Detailed figures

FRANCE: 26.8% of profit from 22.5% of bookings. RPB €67.90, 52.4% margin, 7.4% take rate, 47.6% cost ratio, 2.10x ROI. Largest profit market.

ITALY: 24.6% of profit from 12.7% of bookings. RPB €114.54 (highest), 50.4% margin, 9.5% take rate, 49.6% cost ratio, 2.02x ROI. Premium, high-value market.

GERMANY: 17.1% of profit from 12.3% of bookings. RPB €70.93, 58.6% margin (highest), 9.0% take rate, 41.4% cost ratio (best efficiency), 2.41x ROI (highest). Strong scaling opportunity.

SPAIN: 13.9% of profit from 13.7% of bookings. RPB €53.60 (lowest among core), 56.9% margin, 6.4% take rate, 43.1% cost ratio, 2.32x ROI.

OTHER: 12.1% of profit from 32.9% of bookings. RPB €34.70 (critically low), 31.6% margin (worst), 5.5% take rate (worst), 68.4% cost ratio (worst efficiency). High volume, poor value.

GB: 5.6% of profit from 5.8% of bookings. RPB €59.67, 48.3% margin, 8.8% take rate, 51.7% cost ratio, 1.93x ROI. Smallest market across bookings, revenue, and profit.

Section 4: Combination Insights

Channel × Category

Bottom line: Paid channels (SEM, META) have very low standalone profitability (margin: SEM 6.5%, META 30%) but work far better on FLIGHT + HOTEL bundles (margin rises to roughly 25% for SEM and 71% for META). Organic channels work everywhere because they serve existing demand. This reinforces using FLIGHT as a lead-generation funnel into bundles.

Top 3 best performers

- **DIRECT × FLIGHT + HOTEL:** €23.2M profit (100% margin, 100K bookings, €179 RPB).

- **SEM × FLIGHT + HOTEL:** €13.6M profit (25% margin, 280K bookings, €196 RPB, highest). The most profitable paid combo; RPB justifies the spend despite the lower margin.
- **SEO × FLIGHT + HOTEL:** €10.1M profit (100% margin, 53K bookings, €189 RPB).

Bottom 3 performers

- **SEM × FLIGHT:** €574K profit (6.5% margin, 172K bookings, €51 RPB). €8.8M revenue almost entirely consumed by spend.
- **META × HOTEL:** €331K profit (22% margin, 25K bookings, €61 RPB). Lowest margin of the META combos, low volume, low RPB.
- **SEM × HOTEL:** €1.1M profit (24% margin, 84K bookings, €52 RPB). The same spend-efficiency problem as SEM × FLIGHT: weak margin and RPB.

Channel × Geography

Bottom line: Paid performance varies sharply by country. SEM scales profitably in Italy at €162 RPB, but it does not translate everywhere: in OTHER, SEM runs at just a 6% margin (barely above breakeven), while the bulk of OTHER's paid volume flows through META at only €20 RPB across 670K bookings. Italy and Germany show proven, profitable paid demand; OTHER does not.

Top 3 best performers (by profit)

- **DIRECT × FR:** €9.8M profit (100% margin, 110K bookings, €89 RPB). Largest organic market and the profitability baseline: big demand at zero spend.
- **DIRECT × IT:** €6.4M profit (100% margin, 55K bookings, €117 RPB, highest organic premium). Italy's organic customers show the highest willingness to pay.
- **SEM × IT:** €6.3M profit (28% margin, 137K bookings, €162 RPB). The one paid combo that works at scale.

Bottom 3 performers (by paid efficiency)

- **SEM × OTHER:** €0.6M profit (6% margin, 64K bookings, €148 RPB, 1.06x ROI). A healthy RPB undone by a 6% margin: spend consumes nearly all revenue, making this the least efficient SEM market.
- **META × OTHER:** €3.9M profit (29% margin, 670K bookings, €20 RPB, 1.42x ROI). The platform's lowest value per booking at huge scale: enormous volume on near-worthless per-booking economics.
- **META × GB:** €0.4M profit (47% margin, 40K bookings, €19 RPB, 1.89x ROI). The smallest and lowest-RPB paid market on the platform.

Geography × Category

Bottom line: Premium markets (Italy, France, Germany) show strong bundle adoption (FLIGHT + HOTEL) with RPB of €155 to €218, indicating willingness to pay for integrated travel. The OTHER segment generates far lower RPB (€20) with demand concentrated on flight-only products.

Top 3 best performers

- **FLIGHT + HOTEL × IT:** €14.1M profit (50% margin, 130K bookings, €218 RPB, premium pricing). Highest-value booking and largest bundle profit market.
- **FLIGHT + HOTEL × FR:** €13.1M profit (56% margin, 150K bookings, €155 RPB). Largest bundle market by volume.
- **FLIGHT + HOTEL × DE:** €8.0M profit (63% margin, 64K bookings, €198 RPB). Lowest volume but the highest margin and a strong RPB.

Bottom 3 performers

- **FLIGHT × OTHER:** €3.5M profit (25% margin, 670K bookings, €20 RPB). Huge volume but critically low value (€20 RPB vs €218 in Italy).
- **FLIGHT × FR:** €3.0M profit (36% margin, 286K bookings, €29 RPB). Strong volume but weak margin: a prime candidate to upsell into bundles, since France accepts bundles at €155 RPB.
- **HOTEL × ES:** €657K profit (59% margin, 21K bookings, €31 RPB).

Section 5: Triple Combinations (Channel × Category × Geography)

Bottom line: FLIGHT + HOTEL combined with DIRECT and SEM generates the majority of profit. Organic channels (DIRECT, SEO) achieve effectively infinite ROI at zero spend, while SEM bundles in high-performing markets (IT, DE) justify their spend despite moderate margins. Conversely, single-flight products in emerging markets show sub-5% margins and critically low RPBs (€20 to €30 vs €190+ for bundles).

Top 3 best performers

- **DIRECT × FLIGHT + HOTEL × FR:** €7,345,935 profit (50,209 bookings, €146.31 RPB, 100% margin). Organic channel at zero spend and 100% margin; bundles in France drive premium bookings. Reflects strong brand loyalty and repeat customers.
- **SEM × FLIGHT + HOTEL × IT:** €5,436,271 profit (88,493 bookings, €220.24 RPB, 1.39x ROI, 27.9% margin). The 1.39x ROI justifies SEM spend despite a 27.9% margin, and the volume shows strong market demand.
- **DIRECT × FLIGHT + HOTEL × IT:** €5,114,027 profit (24,475 bookings, €208.95 RPB, 100% margin). Zero spend, 100% margin, one of the highest RPBs on the platform, showcasing premium-customer demand.

Bottom 3 performers

- **SEM × FLIGHT × OTHER:** –€501,662 loss (20,760 bookings, €63.55 RPB, 0.72x ROI, –38.0% margin). Loss-making combo consuming €501,662 annually on €1,820,938 of spend. Root cause: FLIGHT carries only a 4 to 6% take rate vs 10%+ for bundles, and OTHER is the lowest-performing market.
- **SEM × HOTEL × OTHER:** –€56,936 loss (9,310 bookings, €50.48 RPB, 0.89x ROI, –12.1% margin). €526,880 of spend generating negative returns.
- **META × HOTEL × GB:** –€10,242 loss (1,666 bookings, €54.94 RPB, 0.90x ROI, –11.2% margin). €101,766 of spend at a loss; GB is the weakest market and HOTEL alone is unprofitable here.

June 2025 Analysis

May vs June, key metrics

- Profit: –12.9% (€6,470,920 to €5,638,994).
- Spend: +50.8% (€6,345,620 to €9,569,697).
- Revenue: +18.7% (€12,816,540 to €15,208,691).
- Margin: –13.4 percentage points (50.5% to 37.1%).

Root-cause analysis

Spend rose by €3,224,077 (+50.8%) while revenue rose only €2,392,151 (+18.7%): roughly €1.35 of additional spend for every €1 of additional revenue, an incremental return well below breakeven. Budget was allocated to lower-performing, high-spend combos instead of high-ROI bundles. Specifically:

High-spend, low-margin combos in June

Two combos alone accounted for –€442,730 in losses on €2.8M of combined spend:

- **SEM × FLIGHT + HOTEL × OTHER:** €1,547,723 spend at a –17.6% margin (–€231,512 loss).
- **SEM × FLIGHT + HOTEL × FR:** €1,255,371 spend at a –20.2% margin (–€211,218 loss).

Other loss-making combos in June

Four combos accounted for –€544,447 in total losses:

- SEM × FLIGHT + HOTEL × OTHER: –€231,512.
- SEM × FLIGHT + HOTEL × FR: –€211,218.
- SEM × FLIGHT × OTHER: –€59,672.
- SEM × FLIGHT + HOTEL × ES: –€41,545.

Margin-compression evidence

- FLIGHT + HOTEL margin fell from 58.2% (May) to 36.0% (June).
- FLIGHT single-product spending increased disproportionately, shifting the mix toward lower-margin products.

Conclusion

June's spend was inefficient: a 50.8% spend increase directed at the wrong combos caused an €832K profit decline despite 18.7% revenue growth, cutting margin from 50.5% to 37.1%. Budget flowed toward FLIGHT single-products in OTHER and ES, and FLIGHT + HOTEL in OTHER and FR, combinations that failed to generate proportional profit. To assess whether this rebalancing supports the company's growth strategy, clarity is needed on the SEM goals and spend strategy.